



THE COVID-19 (PREVENTION OF HOARDING) ACT, 2021



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THE COVID-19 (PREVENTION OF HOARDING) ACT, 2021

ACT NO. XLVI OF 2021

[3rd December, 2021]

Act

to provide for the prevention of hoarding in respect of scheduled articles, in the wake of an emergent situation resulting from the outbreak of the Corona virus pandemic (COVID-19)

WHEREAS it is expedient to provide for the prevention of hoarding in respect of scheduled articles in an emergent situation resulting from the outbreak of the Corona virus pandemic (COVID-19) and for matters connected therewith and ancillary thereto;

WHEREAS Pakistan is a State Party to the International Health Regulations, 2005, issued by the World Health Organization, according to which Pakistan is under a direct obligation to prevent, protect against, control and provide a public health response to international disease

WHEREAS the World Health Organization has declared the Corona virus (COVID-19) to be a pandemic requiring multifaceted responses;

AND WHEREAS events of hoarding contribute to adversities, in geometric progression, to the people at large, especially in circumstances of partial or complete lock-down;

1. Short title, extent and commencement.—(1) This Act shall be called COVID-19 (Prevention of Hoarding) Act, 2021.

(2) It extends to the Islamabad Capital Territory.

(3) It shall come into force at once.

2. Definitions.—In this Act, unless there is anything repugnant in the subject or context,—

- a. “dealer” means any person, trader, partnership, firm, whether registered or unregistered, an association or body of persons or individuals, or a company, or their agents carrying on the business of purchasing, selling or stocking of any scheduled article and includes a manufacturer, producer, packager, importer, exporter, wholesaler or retailer of such article;
- b. “Government” means the Federal Government;
- c. “hoard” or “hoarding”—
 - i. means stocking or storing anything in excess of the maximum quantity of scheduled articles allowed to be held in stock or storage, in the manner as may be prescribed; or
 - ii. where no maximum quantity of a scheduled article is prescribed under

sub-clause (i), “hoard” or “hoarding” shall mean stocking or accumulation of scheduled articles without offering such articles for sale, despite there being a demand by consumers.

- d. “maximum quantity” means the quantity of an item that is currently available for sale;
- e. “officer” means the deputy commissioner of the Islamabad Capital Territory and such other officer as may be authorized by him in this behalf;
- f. “prescribed” means prescribed by rules made under this Act; and
- g. “scheduled article” means any of the articles specified in the Schedule to this Act.

3. Offence of hoarding.—(1) Any dealer who is found to hoard any scheduled article shall be guilty of an offence punishable with simple imprisonment up to three years and fine equivalent to fifty percent of the value of the scheduled articles involved in the case.

(2) The value of scheduled articles for purposes of sub-section (1) shall be determined in the manner as may be prescribed.

4. Power to search for and seizure of scheduled article.—(1) When an officer has reasonable grounds to suspect, either upon information from anyone or on his own, that there has been a contravention of any of the provisions of this Act, he may, after recording in writing the grounds of his suspicion, enter and search, without any warrant, any place where a dealer keeps, or is for the time being keeping, any scheduled article, accounts, registers or any other related items or things.

(2) Upon entry in and search of a premise under sub-section (1), if scheduled articles are found at such premise in contravention of this Act, the officer shall immediately seize the same and prepare a detailed report of the scheduled articles and other relevant material found during the search.

The provisions of the Code of Criminal Procedure, 1898 (Act V of 1898) shall not be applicable on search and seizure under this Act

5. Offence of hoarding.—(1) Any dealer who is found to hoard any scheduled article shall be guilty of an offence punishable with simple imprisonment up to three years and fine equivalent to fifty percent of the value of the scheduled articles involved in the case.

(2) The value of scheduled articles for purposes of sub-section (1) shall be determined in the manner as may be prescribed.

6. Power to search for and seizure of scheduled article.—(1) When an officer has reasonable grounds to suspect, either upon information from anyone or on his own, that there has been a contravention of any of the provisions of this Act, he may, after recording in writing the grounds of his suspicion, enter and search, without any warrant, any place where a dealer keeps, or is for the time being keeping, any scheduled article, accounts, registers or any other related items or things.

(2) Upon entry in and search of a premise under sub-section (1), if scheduled articles are found at such premise in contravention of this Act, the officer shall immediately seize the same and prepare a detailed report of the scheduled articles and other relevant material found during the search.

(3) The provisions of the Code of Criminal Procedure, 1898 (Act V of 1898) shall not be applicable on search and seizure under this Act.

7. Power to auction seized Scheduled articles.—(1) Notwithstanding anything contained in any other law for the time being in force and in addition to the prosecution under this Act, the officer may sell the scheduled articles seized under section 4 by auction, in the manner as may be prescribed.

(2) The proceeds collected under sub-section (1) shall be deposited in a profit bearing bank account in the National Bank of Pakistan, and if—

- (a) the accused person whose scheduled articles are auctioned is acquitted of an offence under section 3, the deposited amount alongwith the profit shall be released to the said accused; or
- (b) the accused person whose scheduled articles are auctioned is convicted of an offence under section 3, the deposited amount alongwith the profit shall be released into the government exchequer.

8. Cognizance of offence and arrest without warrant.—(1) Notwithstanding anything contained in the Code of Criminal Procedure, 1898 (V of 1898), all offences punishable under this Act shall be cognizable and non-bailable.

(2) The Special Magistrate under section 8 shall take cognizance of an offence under this Act, upon written information by the officer.

(3) An officer may arrest any person without warrant against whom there is credible information that he has committed an offence under this Act.

9. Offences by corporations etc.—If an offence under this Act is committed by a company or body corporate or a partnership or other association or body of persons or individuals, every director, manager, secretary, member or other officer, the principal, primary or beneficial owner or agents thereof shall, unless he proves that the contravention took place without his knowledge or that he exercised all due diligence to prevent such contravention, be deemed to be guilty of such contravention and shall be liable to punishment under this Act.

10. Power to try offences summarily.—(1) Offences punishable under this Act shall be tried by a Special Magistrate appointed under section 14A of the Code of Criminal Procedure, 1898 (Act V of 1898), in a summary manner as provided in sections 262 to 265 of the said Code:

Provided that sub-section (2) of section 262 of the Code of Criminal Procedure, 1898 (Act V

of 1898) shall not apply.

(2) If a Special Magistrate has reason to suspect that any offence punishable under this Act has been committed by any dealer or owner of a godown or a storage place or its management or agent thereof, he may enter the place or premises where the offence has been committed and try the offence on the spot.

(3) The trial under this Act shall be concluded within thirty days.

11. Appeal.—(1) A person aggrieved by an order of conviction and sentence under of this Act may file an appeal before a District and Sessions Judge of the Islamabad Capital Territory within thirty days of the said order.

(2) An appeal under sub-section (1) shall be disposed of within thirty days.

12. Reward for informers.—Anyone who provides an information to an officer with regard to any act or acts of hoarding, which results in a conviction and release of funds into the government exchequer, shall be entitled to an award equivalent to ten percent of the amount released to the government exchequer, in the manner as may be prescribed.

13. Information and declarations.—(1) Every dealer shall provide to an officer, such information regarding production, importation, exportation, purchase, stock, sale or distribution of any of the scheduled articles as the officer may, by an order in writing, require.

(2) The officer may direct the owners or manufactures of scheduled articles or owners and management of godowns or storage places or their agents to declare stocks of any particular item, owned or managed by them at their premises, at any point in time or at such periodical intervals as may be deemed fit.

(3) The declaration to be made under sub-section (2), shall, *inter alia*, include, the quantity of stock, its value, date of purchase, copies of procurement invoices in any given time frame, along with details of any sale or sale agreements.

(4) The officer may verify the stock as well as the books or documents in respect of the stock, purchase or sale, at any time, in respect of scheduled articles.

(5) While carrying out the verification of stock in terms of sub-section (4) or upon receipt of any information from whatever source, the officer may require the dealer, owner or manager of a godown or storage place to furnish the details of persons, shops, firms or companies, etc. from whom the purchases have been made and to whom the sales have been or are to be made.

14. Offences in respect of false reporting and failure to disclose information.—Any dealer or owner of a godown or a storage place or their management or agent, who fails to provide information or gives fake or false information with regard to any of the items or details under section 11, or provides information of contracts, agreements or arrangements found to be fake or false, or is otherwise found to be involved in speculative dealings or market manipulation, creating artificial, false or misleading appearance with respect to the price of, or market for, the scheduled articles, shall be guilty of an offence

punishable with simple imprisonment upto three years and fine equivalent to one million Rupees.

15. Protection of action taken under the Act.—(1) No suit, prosecution or other legal proceedings shall lie against any person for anything done in good faith.

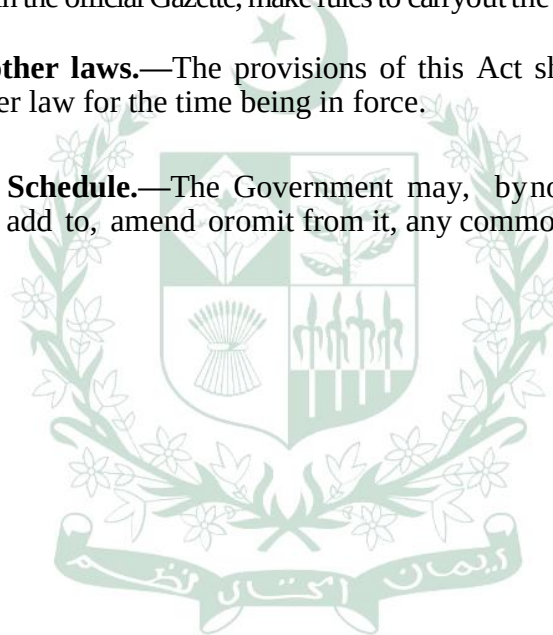
(2) Except as provided in this Act, no suit or other legal proceedings shall lie to challenge any proceedings under this Act on any ground.

16. Action in aid of an officer.—In giving effect to the provisions of this Act, an officer, where he deems fit, may seek the aid of law enforcement agencies.

5. Power to make rules.—Within six months of the commencement of this Act, the Government may, by notification in the official Gazette, make rules to carry out the purpose of this Act.

6. Act to override other laws.—The provisions of this Act shall have effect notwithstanding anything contained in any other law for the time being in force.

7. Power to amend Schedule.—The Government may, by notification in official Gazette, amend the schedule so as to add to, amend or omit from it, any commodity or class of commodities.



THE PAKISTAN CODE

SCHEDULE
(see section 2)

Sr. No.	Item	Sr. No.	Item
(1)	(2)	(1)	(2)
1	Tea	17	Spices and Vegetables
2	Sugar	18	Red Chilli
3	Milk	19	Drugs and Medicines
4	Powdered Milk	20	Kerosene oil
5	Milk and food for infants	21	Rice
6	Edible oil, hydrogenated or otherwise	22	Wheat, Flour all sorts
7	Aerated water, fruits juices and squashes	23	Chemical fertilizers all sorts
8	Salt	24	Poultry food
9	Potatoes	25	Surgical gloves
10	Onions	26	Face masks
11	Pulses all sorts	27	N95 masks
12	Fish all sorts	28	Sanitizers
13	Beef	29	Surface cleaning products
14	Mutton	30	Pesticides
15	Eggs	31	Match sticks
16	Gur	32	Isopropyl Alcohol